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Research Briefing | Eurozone

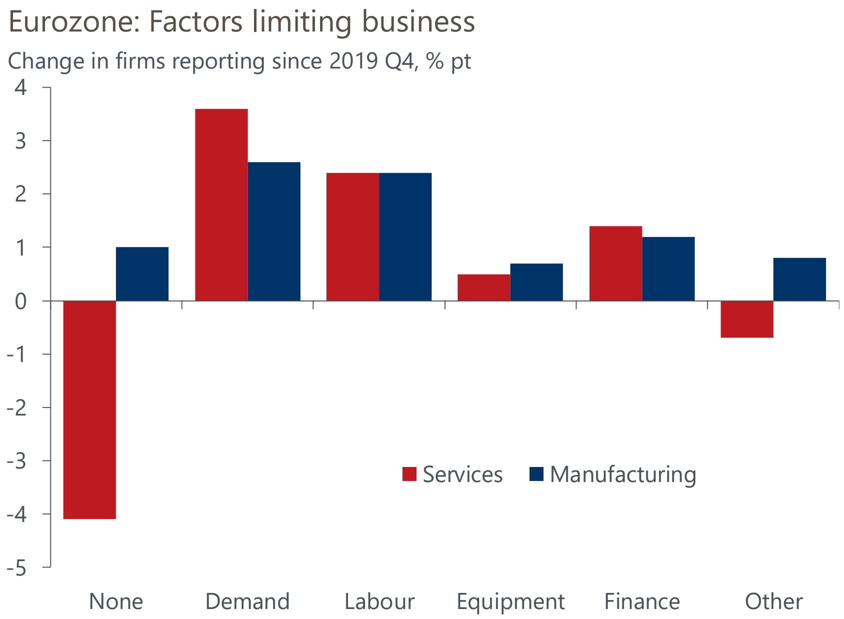
From investment gloom to investment gain

- **We expect two distinct phases to characterise the Eurozone investment outlook over the next few years. Capital expenditure growth will likely remain soft in the near term in response to deficient demand, but should strengthen from 2027 as increased defence spending and the adoption of AI technology provide a structural tailwind.**
- **Some of businesses' biggest fears around the international trading environment have been allayed. But we see investment growth remaining weak as businesses face challenges accessing key export markets in the US and China, and lose market share to the latter in third markets.**
- **We don't expect the ECB to change interest rates in 2026, but given rising term premia for longer-dated loans, we expect corporate interest rates to tick up. Increasing debt service costs and more expensive new finance will likely provide a temporary drag on capex.**
- **From 2027, rising public investment should help to support private investment as businesses remove bottlenecks that will prevent them from meeting ambitious defence spending plans. Europe won't be a big investor in AI development, but will invest to have access to the latest AI technology.**

Taken at face value, another year of weak business investment growth in the Eurozone could be viewed as more of the same. Looking past the volatility that Irish capex adds to the picture, we expect investment growth to round out 2025 at 1.1% before ticking up slightly to 1.4% this year. But the headwinds are shifting...

For most of last year, uncertainty around international trading arrangements and the impact on the global economy was the largest brake on investment growth. As the recent tariff threats around Greenland have shown this hasn’t disappeared entirely, but many of businesses' worst fears have been allayed. Still, with demand set to remain weak, we expect corporates to cap their investment plans over the next 12 months (**Chart 1**).

Chart 1: Weak demand is holding back economic activity



Sources: Oxford Economics, Haver Analytics

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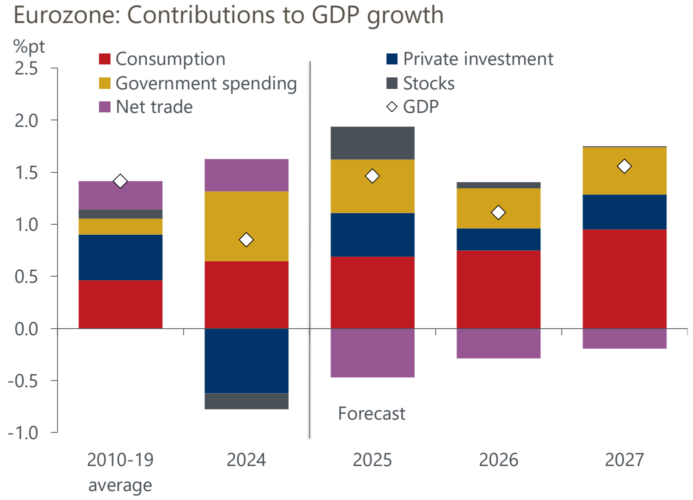
Weak external demand provides the biggest headwind to investment

Net trade was a steady growth engine for the Eurozone through the decade before the pandemic, but we expect it to weigh on corporate demand over the next couple of years. Between 2010 and 2019, on average, net trade contributed 0.3ppts to annual GDP growth, which matched the support it gave to growth in 2024 (**Chart 2**). But following the tariff-driven upheaval to international trade last year, we expect growth to be domestically driven, with external demand subtracting from Eurozone growth and acting as the most significant headwind to the near-term outlook for capital expenditure.

Chart 2: Weak exports are contributing to soft demand growth



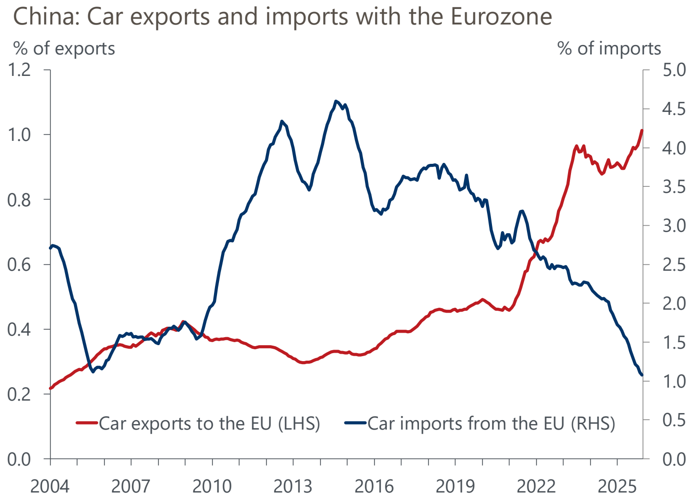
Sources: Oxford Economics, Haver Analytics

The global economy is set to remain in a low gear over the next couple of years, but shifting trade demand will provide a more significant hit to European exports. Over the past 20 years or so, the US has consistently been the Eurozone's largest goods export market, with around 15% of all annual exports heading across the Atlantic. But China's significance has increased markedly, with its share of European goods exports more than doubling over the past couple of decades to around 8%, making it the bloc's third-largest market. But these markets will become more difficult for exporters to access. Over the next couple of years, we expect export demand to grow more slowly than the global economy, limiting the demand for additional capex.

Notably, China's shift into becoming a trade rival rather than a trade partner presents a major risk to Europe's demand growth. China has hitherto depended on European imports, but academic evidence is building that it's becoming increasingly self-reliant, particularly in the production of hi-tech goods. Not only does this directly reduce export demand, but China is also becoming a competitor in Europe's key domestic and export markets. We expect intensified competition from China to reduce the Eurozone's goods exports by around 1% by 2030.

China's changing role in the global production chain can clearly be seen in the car market. Since China's 2018 call for greater self-reliance, the share of European cars within Chinese imports has declined from 3.7% in 2018 to 2.0% in 2024. At the same time, China's influence is growing within the European car market. As its expertise in producing electric vehicles has increased, China's car exports to Europe have increased sharply, with 400,000 Chinese EVs imported in 2023. The result is that car exports have increased from 0.4% of China's exports to Europe to around 1% over the past five years (**Chart 3**).

Chart 3: China's car imports from Europe are down and its car exports to Europe are up



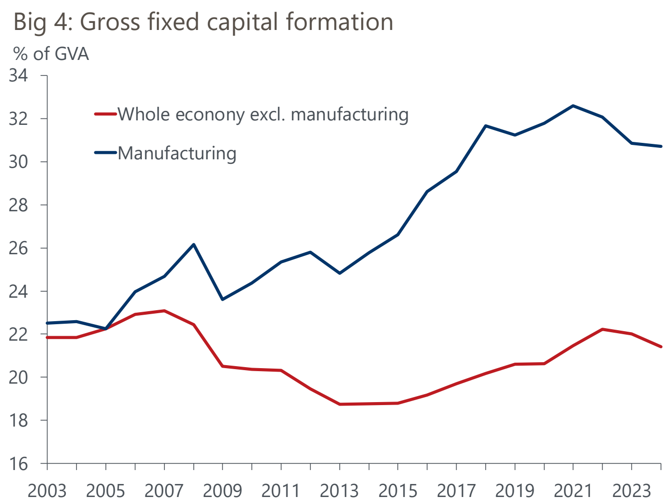
Sources: Oxford Economics, Haver Analytics

Weak external demand will weigh on a key investment engine

One of the consequences of the Eurozone's weak external environment is that the manufacturing sector, which is responsible for most of Europe's goods exports, is operating with some spare capacity. With the ability to increase output without a lot more infrastructure, there's limited incentive for manufacturers to undertake significant capex programmes in the near term. But, although spare capacity will be temporary, some sectors that are most exposed to structurally weaker demand – for example, car production – will have to downscale their capital stock, limiting new investment.

Manufacturers that are less motivated to invest can have a particularly significant impact on overall European capex. The manufacturing sector has been a key investment engine over the past decade, bucking the economy-wide trend and becoming a more capex-intensive part of the economy (**Chart 4**). Following its recent investment spurt, the sector punches well above its weight, in 2024 delivering 15% of all investment in the big four Eurozone economies, but only accounting for around 11% of value added.

Chart 4: The manufacturing sector has been pushing up investment

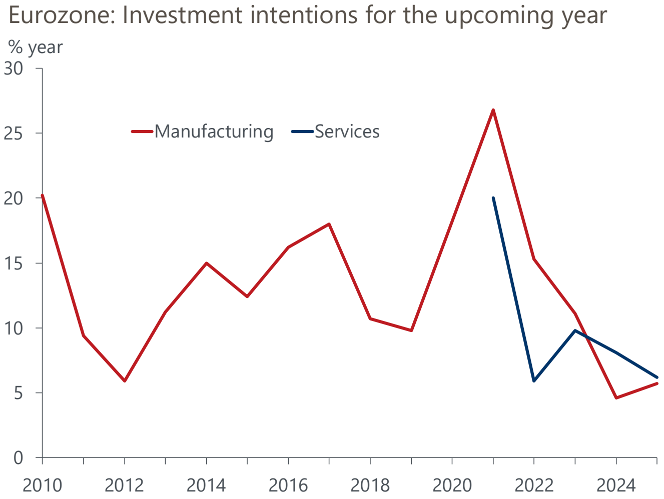


Sources: Oxford Economics, Eurostat

Domestic conditions add to the near-term challenges

Although challenging export markets are playing a leading role in restraining near-term investment, domestic conditions will also provide a temporary drag. Demand is not only limiting investment in manufacturing, but also in the more domestically focused services sector. Indeed, the latest survey of European corporates – both manufacturers and service providers – indicates that they expect weak investment growth over the next 12 months (**Chart 5**). Historically, these business surveys haven't provided a perfect read on upcoming investment, with firms often being too optimistic on capex prospects.

Chart 5: Businesses' investment plans remain weak



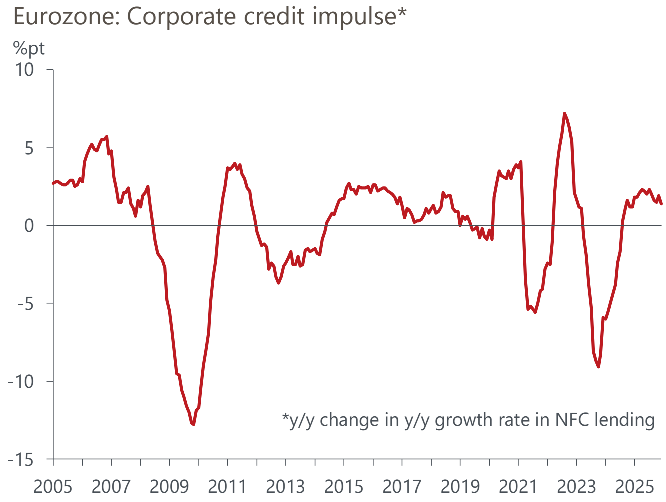
Sources: Oxford Economics, Haver Analytics

Interest rates will offer less support to investment growth than they have over the past couple of years. Through the first half of last year, the ECB cut interest rates relatively quickly, at least in comparison to the Federal Reserve and the Bank of England. Corporate loans are typically responsive to changes in interest rates, so businesses saw their debt service costs fall and the cost of new finance reduced as the loosening cycle matured. In response, businesses turned to bank lending to deliver more ambitious investment plans.

But rate cuts now look to be in the rearview mirror. Having left interest rates unchanged through the latter half of last year, we expect the ECB Governing Council to keep rates on hold over the coming year. With no prospect of further cuts and money markets continuing to price greater term premia, rates will edge up over the next 12 months or so. In response, most new and existing corporate lending rates will gradually increase. As bank lending becomes more expensive and debt service costs edge back up, bank finance becomes a less attractive option to fund investment projects.

A combination of a weak demand outlook and the ECB's cutting cycle reaching its conclusion has seen the improvement in corporate lending growth slow. Having picked up through the end of 2024 and the first half of last year, corporate lending growth plateaued in the final half of 2025. The ECB's survey of lenders reported that while there has been some tightening in lending standards, the plateau in the Eurozone's credit impulse largely reflected flatlining demand for corporate credit. So, softening credit growth is more of a symptom than a cause of the weak investment outlook (**Chart 6**).

Chart 6: Corporate lending growth has slowed significantly



Sources: Oxford Economics, ECB

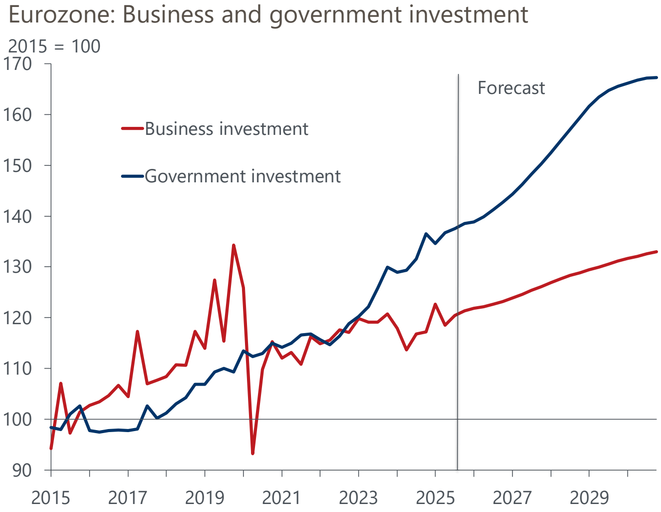
Structural tailwinds are set to build into 2027 and beyond

Over the coming years, we expect there to be two distinct phases to the investment outlook. In the near term, we think cyclical headwinds from a weaker global backdrop will depress capex, but we forecast that, from 2027, structural tailwinds – defence and infrastructure spending and the AI revolution – will help to boost investment growth, supported by decent corporate health. We project business investment will rise by more over 2% y/y in 2027 and 2028 – an increase, but still below the average over the pre-pandemic decade of around 3.5%.

Over the past few years, increased public investment hasn't spurred private investment. Within economics, it's an open question as to whether government capex 'crowds in' or 'crowds out' private spending. The answer often comes down to how complementary public investment plans are with those in the private sector. Over the past few years, government investment has increased sharply, rising by more than 15% without a similarly large pickup in business investment (**Chart 7**).

But we expect this to change as the primary driver of government investment rotates towards defence spending, particularly in Germany. The German government has already initiated an ambitious investment programme. But we think that several bottlenecks will prevent it from fully kicking in until 2027. Notably, the focus on defence and heavy industry concentrates public investment in certain parts of the manufacturing sector that are already operating at close to full capacity. So, to meet the changing composition of demand, we expect some private investment to increase productive capacity, given that the European labour market remains tight.

Chart 7: Public investment will start to complement private investment



Sources: Oxford Economics, Haver Analytics

Over the coming year, we expect the full effect of the AI investment boom to bypass the Eurozone. Nonetheless, the bloc is well-positioned to adopt new AI innovations. In the medium term, the major benefit will be to Eurozone productivity, but it will also provide some support to business investment. During the adoption phase of AI, Eurozone firms will still be required to invest to update their infrastructure, even if the bloc isn't at the forefront of developing new technologies.